

20.03.2025

Dear

As our financial year comes to an end later this month, I would like to begin by thanking all our trade partners for a year that has ended well in a general sense.

Market Analysis: Groundnut Sector and Crop Trends

1. Sowing Progress in Gujarat

As of 17 March 2025, summer crop sowing in Gujarat has covered 24,300 hectares, significantly lower than both the 2024 figure of 34,600 hectares and the three-year average of 58,200 hectares. The delayed harvest of the previous season is identified as the primary reason, with expectations of improved planting data later in the month, potentially aligning with last year's figures.

2. Government Procurement and Sale Dynamics

Government agencies, which procured groundnuts at a support price of Rs. 67,830.00 per ton (USD 785.00 per ton) between Nov 2024 and Feb 2025 have initiated sales at an anticipated price range of Rs. 50,000 – Rs. 55,000 per ton (USD 580 – 640 per ton). This disparity results in a projected average loss of USD 185.00 per ton, excluding additional costs such as storage, handling, and financing.

Assuming a sale of 1.5 million tons, taxpayer losses may total approximately USD 275 million, reflecting the financial strain of subsidizing the groundnut market while supporting farmers.

3. Export Market Update

Export activity for groundnuts has remained steady but initially underperformed due to pricing pressures. Recent transactions with China for the 80/90s variety—commonly supplied to Southeast Asia—signal a notable shift. Traditionally favoring Bolds, China's interest in 80/90s indicates price-driven demand evolution. Trades have been recorded in the USD 820 – 830 to USD 880 – 890 per ton CFR range.

4. Domestic Market Stability

Java-type peanuts sourced from Central India have bolstered domestic availability, ensuring sufficient supply for oil production, kernel consumption, and export commitments. This stability has mitigated potential disruptions amidst fluctuating demand.

Current values on FOB basis, for Non EU destinations are as under :

Bold 40/50 : USD. 965.00 pmt

Bold 50/60 : USD. 955.00 pmt

Bold 60/70 : USD. 945.00 pmt

Java 50/60 : USD. 1030.00 pmt

Java 60/70 : USD. 1015.00 pmt
Java 80/90 : USD. 940.00 pmt

Java Type 50/60 : USD. 975.00 pmt
Java type 80/90 : USD. 920.00 pmt

Blanched Whole 40/50 : USD. 1235.00 pmt
Blanched Whole 50/60 : USD. 1220.00 pmt

Blanched Splits 40/50 : USD. 1175.00 pmt
Blanched Splits 50/60 : USD. 1155.00 pmt

The blanched cargo is offered basis 25 kg vacuum bags with outer pp bags.

We are also offering for the EU and would request that you connect with us by return mail for pricing.

Regards – Sanjiv Sawla

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